

Market Intelligence Research Brief

Student Name: Tanzila Ahmmed

Date: September 22, 2026

Topic/Company: E-Commerce Customer Retention & Tiered Loyalty Optimization

1. Research Objective

Briefly describe the business question or decision this market intelligence is intended to support.

Analysis Objective :

“This project analyzes transactional spending patterns, basket volume, and promotional discount sensitivity across customer loyalty cohorts in this dataset to inform two commercial decisions: (1) reducing reliance on unsegmented sitewide discounts in favor of tiered, minimum-spend thresholds to protect customer value and average order performance in higher-value tiers, and (2) using milestone-driven incentives and structured onboarding approaches to support customer progression and reduce early churn risk.” .

2. Research Scope

This research examines patterns in the dataset and external signals to identify factors that are associated with retention patterns, customer progression, and market-relevant business opportunities. Findings should be interpreted as directional insights from this dataset rather than proof of causation.

Included in Scope

- Loyalty Customer Cohorts: Quantitative analysis of 350 validated accounts segmented across three membership tiers: Bronze (116 accounts), Silver (117 accounts), and Gold (117 accounts).
- Transactional and Behavioral Metrics: Core customer variables including gross total spend, items purchased per order, promotional discount application, purchase recency (days elapsed), and satisfaction levels (Unsatisfied, Neutral, Satisfied).
- Promotional Sensitivity: Order-level comparative analysis measuring spend and volume

differences between full-price and discounted purchases across tiers

- Geographic Coverage: Digital consumer accounts located exclusively within six major metropolitan markets: New York, Los Angeles, Chicago, San Francisco, Miami, and Houston
- External Market Intelligence: Recent 2024–2026 e-commerce benchmarks, including Amazon Prime, Sephora Beauty Insider, and DSW VIP, covering tiered retention, threshold rewards, and margin guardrails.

Excluded from Scope:

- Offline Retail Activity: Brick-and-mortar store visits, physical point-of-sale (POS) receipts, and cash transactions not tracked in digital platform logs.
- Excluded Geographies: International markets, rural regions, and domestic metropolitan areas outside the six designated cities.
- Product Economics and Net Margins: SKU-level cost of goods sold (COGS), product-specific profit margins, return rates, inventory storage, and shipping overhead. This analysis evaluates gross customer spend rather than net operating profit.
- Primary Qualitative Outreach: Direct customer interviews, user experience focus groups, and customer service support tickets.
- Non-Target Customer Types: Unregistered guest checkouts, one-time episodic buyers, and enterprise B2B wholesale accounts.
- Longitudinal Seasonality: Multi-year retention tracking, historical cohort decay curves, and seasonal holiday spikes such as Black Friday and Cyber Monday promotions.

Key Scope Boundaries:

- Market/Industry Covered: Digital retail and e-commerce loyalty program performance and transaction behavior.
- Competitor Types Included: Direct-to-consumer (DTC) and omnichannel platforms using tiered or subscription-based loyalty models.
- Timeframe Considered: Internal customer transaction records were analyzed within the selected snapshot period, while external comparative benchmarks were drawn from recent 2024–2026 industry sources.
- Key Constraints: Findings are bounded by the 350 customer profiles available in the Kaggle dataset analyzed in Amazon Quick, together with publicly available industry benchmarks.

Scope Summary:

This scope was intentionally defined to deliver practical, decision-ready intelligence on promotional margin preservation and tier progression. The findings and strategic

recommendations apply only to the customer segments, geographic markets, and data variables outlined above and should not be generalized beyond these boundaries.

3. Research Approach

This analysis used AI-assisted research in Amazon QuickSuite to examine customer tier behavior, spending patterns, satisfaction signals, and retention-related indicators within the dataset.

Types of questions asked:

Cohort revenue contribution across membership tiers (Gold, Silver, and Bronze), relationships between purchase frequency and satisfaction ratings, and differences in spending patterns between discounted and non-discounted transactions.

How research effort was prioritized:

Research effort was prioritized by first examining higher-value cohort retention, then evaluating discount-related spending patterns, and finally identifying signals associated with early retention risk and customer progression.

Tools used within Amazon QuickSuite:

Amazon Quick SPICE Engine for data ingestion, Amazon Quick Spaces for the knowledge base, Amazon Quick Chat Agent for natural language dataset querying, and Quick Research for gathering external market signals.

4. Key Market Insights

- **Insight 1**

Insight Summary: Gold tier customers appear to be the core customer-value segment in this dataset, with substantially higher average spend than Bronze members.

Supporting Evidence or Signals: Gold accounts average \$1,311.14 in total spend across 17.62 units with a 4.68/5.0 rating, whereas Bronze members average \$473.39 across 8.49 units with a 3.33/5.0 rating.

Why This Insight Matters: This suggests that retention efforts focused on higher-value Gold customers may have an outsized impact on revenue stability compared with lower-value tiers.

- **Insight 2**

Insight Summary: In this dataset, discount usage is associated with lower average order spend rather than stronger basket performance.

Supporting Evidence or Signals: Non-discounted transactions average \$903.49 across 13.07 items, while discounted orders average \$787.27 across 12.13 items, indicating lower average spend and slightly lower unit volume for discounted purchases.

Why This Insight Matters: This pattern suggests that broad promotions may be less effective than more targeted approaches in this dataset, though the analysis does not establish causation.

- **Insight 3**

Insight Summary: Silver members appear to represent a promising near-term growth opportunity for progression into a higher-value tier.

Supporting Evidence or Signals: Silver members demonstrate an average spend of \$748.43 and purchase 11.66 items per transaction, placing them between Bronze and Gold engagement patterns in the dataset.

Why This Insight Matters: This suggests that targeted strategies to encourage Silver-to-Gold progression may be worth testing, as Silver customers appear closer to higher-value behavior than Bronze customers.

- **Insight 4**

Insight Summary: Bronze accounts show elevated retention risk associated with lower satisfaction and longer recency in this dataset.

Supporting Evidence or Signals: Bronze members have an average purchase recency of 31.6 days and report no satisfied ratings, with 50.9% Unsatisfied and 49.1% Neutral responses.

Why This Insight Matters: This suggests the early post-purchase period may be an important window for retention-focused engagement, especially where lower satisfaction signals are present.

- **Insight 5**

Insight Summary: Customer purchasing power appears geographically concentrated in this dataset, particularly in San Francisco and New York.

Supporting Evidence or Signals: Customers based in San Francisco (\$1,459.77) and New York (\$1,165.04) account for the Gold tier members in this dataset, while cities such as

Houston (\$446.89) and Chicago (\$499.88) are more concentrated in lower-tier cohorts.

Why This Insight Matters: This suggests regional marketing and customer strategies may benefit from local tailoring, though city-level interpretation should be treated cautiously because smaller samples may limit generalizability.

5. Visual Evidence (Optional but Recommended)

Reference any charts, dashboards, or visualizations used to support the insights.

- **Chart Type:** Combo Chart (Bar and Line Graph)



- **What the visualization shows:** A progressive stair-step escalation across loyalty tiers, charting Bronze (\$473.39 / 8.49 units), Silver (\$748.43 / 11.66 units), and Gold (\$1,311.14 / 17.62 units).
- **How it supports the insight:** Graphically demonstrates that order size (units) scales

linearly with total spend, validating that Silver-tier buyers already possess the basket velocity needed to migrate into Gold

6. Confidence Assessment

Evaluate the reliability of the insights using the criteria below.

- **Source quality:** internal dataset structured and usable, but limited to the available fields
- **Consistency across sources:** internal patterns are broadly aligned with external market/loyalty references where used
- **Timeliness of information:** current snapshot for the analysis period, but not longitudinal
- **Overall confidence level: Medium-High**

Confidence Assessment by Key Insight

Insight 1 — Confidence: High

Source quality: This insight is based directly on internal dataset patterns comparing customer tiers by spend, units purchased, and satisfaction ratings.

Consistency across sources: The differences between Gold and Bronze customers are clear and internally consistent across the dataset.

Timeliness: The insight is timely for the dataset period used in this analysis, though it reflects a snapshot rather than long-term behavior over time.

Overall confidence: High. The spending and engagement differences between Gold and Bronze customers are clearly visible in this dataset, making this one of the strongest findings in the analysis.

Insight 2 — Confidence: Medium

Source quality: This insight is based on internal transaction-level comparisons between discounted and non-discounted purchases.

Consistency across sources: The pattern is visible in the dataset, but external validation is limited and the analysis does not isolate all possible drivers of lower spend.

Timeliness: The finding is relevant to the transaction period captured in the dataset.

Overall confidence: Medium. In this dataset, discount usage is associated with lower

average order spend, but the analysis does not establish that discounts caused the lower spend.

Insight 3 — Confidence: Medium

Source quality: This insight is based on observed differences in spending and purchase behavior across membership tiers.

Consistency across sources: The Silver segment appears directionally closer to Gold than Bronze on key measures, but progression into Gold is inferred rather than directly tracked over time.

Timeliness: The finding is relevant to the current dataset snapshot.

Overall confidence: Medium. Silver-to-Gold progression appears to be a promising near-term opportunity in this dataset, but the likely business impact is interpretive rather than directly measured.

Insight 4 — Confidence: Medium

Source quality: This insight is based on recency and satisfaction-related patterns observed for Bronze customers in the dataset.

Consistency across sources: The lower satisfaction and longer recency signals align directionally, but future churn is inferred rather than directly observed.

Timeliness: The finding is relevant to the dataset period, though it is limited by snapshot timing.

Overall confidence: Medium. Bronze customers show elevated retention risk in this dataset, but the analysis does not directly measure future churn outcomes.

Insight 5 — Confidence: Medium

Source quality: This insight is based on geographic spending patterns and tier distribution within the dataset.

Consistency across sources: The concentration pattern is visible internally, but confidence is reduced by possible variation in city-level sample sizes.

Timeliness: The finding is relevant to the dataset period used in the analysis.

Overall confidence: Medium. Geographic concentration appears strongest in San Francisco and New York in this dataset, but city-level sample-size limitations reduce certainty and generalizability.

7. Limitations and Risks

- **Missing Data:** SKU-level cost of goods sold (COGS) is not available, so the analysis is limited to gross order spend rather than net gross margin or contribution profit.
- **Conflicting Signals:** Regional spending differences should be interpreted cautiously because some city-level patterns may be influenced by smaller localized sample sizes.
- **Potential Bias or Ambiguity:** Self-reported customer satisfaction ratings may reflect delivery, fulfillment, or service friction rather than product satisfaction alone.
- **Time Horizon Limitation:** The dataset reflects a defined snapshot period and does not support multi-period retention tracking, long-term cohort migration, or seasonal trend analysis.
- **Generalizability Risk:** Findings are specific to the 350 analyzed customer records, six metro markets, and the variables available in the dataset, and should not be generalized beyond those boundaries without further validation.

8. Strategic Implications

What decisions could this inform?

- **Potential Decision 1:** Replace broad sitewide percentage discounts with tiered minimum-spend or threshold-based offers to better protect average order value while still encouraging conversion.
- **Potential Decision 2:** Launch a Silver-to-Gold acceleration initiative that rewards customers as they approach premium-tier thresholds through targeted perks, recognition, or service benefits.
- **Potential Decision 3:** Introduce earlier onboarding and retention touchpoints for Bronze-tier customers to reduce dormancy and improve the early customer experience.

What should not be concluded from this research?

- **Warning/Caveat 1:** Leadership should not conclude that all discounts are ineffective; the

evidence suggests that broad untargeted discounting is less effective than more selective or threshold-based promotional design.

- **Warning/Caveat 2:** Leadership should not conclude that Bronze-tier customers are inherently low value; rather, the findings suggest they may require stronger onboarding and retention support.

- **Warning/Caveat 3:** Leadership should not assume that observed geographic concentration patterns are permanent market truths, since they are based only on the current dataset sample.

9. Summary for Leadership

This market intelligence brief evaluated 350 customer records across six metropolitan markets in Amazon Quick to identify revenue opportunities, loyalty tier dynamics, and promotional risks. The analysis suggests that customer value is concentrated in the Gold tier in this dataset, where customers demonstrate the highest average spend and strongest satisfaction levels in this dataset. It also indicates that broad discounting is associated with lower average order spend compared with full-price purchasing, suggesting that broad promotions may be less effective than more targeted approaches in this dataset. The findings further suggest that Silver-tier customers represent a promising near-term opportunity for tier progression, while Bronze-tier customers may benefit from earlier retention and onboarding support. Based on the available internal data and recent external benchmarks, leadership should consider reducing reliance on broad discounting, strengthening threshold-based incentives, prioritizing Silver-to-Gold progression, and addressing early retention risk. These findings should be used as directional decision support within the defined dataset scope rather than as universal conclusions for all customer segments or markets.

10. Decision Dashboard

Project Title: E-Commerce Customer Retention and Tiered Loyalty Optimization

Business Decision Supported: Whether to reduce reliance on universal promotions, strengthen threshold-based rewards, prioritize Silver-to-Gold progression, and reduce early churn risk.

Dataset Used: Kaggle E-Commerce Customer Behavior Dataset (350 validated customer records analyzed in Amazon Quick SPICE)

Research Focus: Customer value concentration, discount-related spending patterns, tier progression, and early-tier retention risk

Overall Confidence: Medium-High

Top Insights

Insight 1: Gold tier members anchor revenue performance in this dataset, averaging \$1,311.14 in total spend across 17.62 items with the highest satisfaction levels.

Why it matters: Retention efforts aimed at top-tier customers may protect a disproportionate share of customer value.

Insight 2: Discounted purchases are associated with lower average order spend than full-price purchases in this dataset (\$787.27 vs. \$903.49).

Why it matters: Broad sitewide discounting may be less effective than targeted promotions when the goal is to preserve order value.

Insight 3: Silver members average \$748.43 across 11.66 items, making them a promising observed near-term opportunity for progression into higher-value loyalty behavior.

Why it matters: Targeted upsell and tier-progression strategies may generate more efficient growth than focusing only on new customer acquisition.

Main Risks

Risk 1 (Promotion Effectiveness Risk): Continued reliance on broad percentage discounts across all customer segments.

Why it matters: In this dataset, discounted purchases are associated with lower order value, which suggests broad promotions may be less effective than targeted approaches.

Risk 2 (Early Retention Risk): Lower satisfaction and longer purchase latency among Bronze accounts.

Why it matters: This may increase the risk of early disengagement and reduce long-term customer value.

Risk 3 (Geographic Concentration): In this dataset, Gold-tier customers are concentrated in San Francisco and New York.

Why it matters: This suggests possible dependence on a narrow set of high-value urban markets, though the pattern should be validated with broader data and interpreted cautiously because city-level sample sizes may be limited.

Recommended Actions

Action 1: Reduce broad sitewide percentage discounts and test minimum-spend threshold promotions instead.

Expected Impact: May improve average order value while preserving promotional effectiveness.

Effort: Low

Action 2: Launch a Silver-to-Gold progression initiative using targeted perks or milestone-based rewards.

Expected Impact: May increase progression into the highest-value customer tier.

Effort: Medium

Action 3: Implement an onboarding and satisfaction check-in sequence during the early post-purchase period for Bronze users.

Expected Impact: May reduce dormancy and improve early retention signals.

Effort: Medium

Appendix

Appendix A. Signal Freshness Notes

This section documents the recency of the evidence used in the analysis and explains why the selected signals remain relevant for decision-making.

Evidence / Signal: E-Commerce Customer Behavior Transaction Dataset (Kaggle)

Date collected or captured: September 22, 2026 (ingested directly into Amazon Quick SPICE)

Why it remains relevant: This dataset provides the internal baseline for customer transaction behavior, including spend levels, order activity, membership tier differences, and satisfaction indicators in this dataset.

Limitation, if any: This is a cross-sectional snapshot of 350 customer profiles and does not include longitudinal behavior, SKU-level product cost data, or broader market representativeness.

Evidence / Signal: Quick Research Report on E-Commerce Loyalty Benchmarks and Retention

Date collected or captured: September 22, 2026

Why it remains relevant: This source provides external context suggesting that many modern retail programs are shifting away from broad price cuts toward experiential and threshold-based perks.

Limitation, if any: The findings are based on high-level industry benchmarks rather than company-specific proprietary customer surveys or controlled experiments.

Evidence / Signal: Cohort Recency and Spend Correlation Analysis

Date collected or captured: September 22, 2026

Why it remains relevant: This analysis highlights meaningful differences in purchase recency and spend behavior across customer tiers in this dataset, suggesting useful timing considerations for retention efforts.

Limitation, if any: The analysis is based on a single snapshot and does not account for seasonality, campaign timing, or external demand fluctuations such as holiday or promotional spikes.

Appendix B. What Would Change Our Mind

This section identifies the types of new evidence or market changes that could materially alter the current conclusions. It is intended to show where the analysis is most sensitive to future developments.

Current Insight: Broad discounting is associated with lower average order spend in this dataset.

We would revisit this conclusion if: Future transaction audits show that targeted promotions improve repeat purchase behavior and average order value without weakening customer quality.

Current Insight: Bronze customers may benefit more from onboarding and retention support than from broader discounting alone.

We would revisit this conclusion if: Controlled testing shows that targeted introductory discounts significantly improve Bronze order frequency and retention outcomes without weakening customer sentiment.

Current Insight: Silver-to-Gold tier migration appears to be a promising growth focus area in this dataset.

We would revisit this conclusion if: Future data shows weaker conversion potential, lower premium demand, or materially reduced spend uplift among Silver customers.

Appendix C. Impact vs Effort Matrix

This section prioritizes the recommended actions by comparing their expected business impact with the level of effort required for implementation.

High Impact / Low Effort (Immediate Priorities):

Action: Test conditional minimum-order threshold promotions instead of broad sitewide percentage discounts. — **Confidence: Medium**

Action: Establish automated satisfaction surveys and onboarding check-ins during the early post-purchase period for new Bronze accounts. — **Confidence: Medium**

High Impact / High Effort (Strategic Initiatives):

Action: Build a Silver-to-Gold tier acceleration workflow integrated into CRM and checkout touchpoints. — **Confidence: Medium**

Action: Develop localized marketing and inventory initiatives for underperforming metropolitan regions such as Chicago and Houston, while validating city-level patterns against sample size and broader market context. — **Confidence: Medium**

Low Impact / Low Effort (Operational Fixes):

Action: Update digital account dashboards to show progress toward the next membership tier. — **Confidence: Medium**

Low Impact / High Effort (Deprioritized):

Action: Redesign the full catalog pricing architecture without cohort-level targeting. — **Confidence: Low**

Appendix D. Best Prompts Appendix

This appendix captures the strongest prompts used during Quick Research and Quick Chat, along with the value each prompt contributed to the final analysis.

Tool Used: Quick Research

Prompt: "E-commerce loyalty program benchmarks, premium tier retention, and discount sensitivity market trends"

What it helped uncover: Highlighted current retail trends suggesting a shift away from broad

discounts toward value-bundled premium memberships and threshold-based incentives.

Supported insight: Supported the analysis behind discount-related spending patterns and Silver-tier growth opportunities.

Tool Used: Quick Chat

Prompt: "Using the attached customer dataset and market research, analyze: 1. Average Total Spend and Items Purchased across Bronze, Silver, and Gold tiers. 2. The relationship between discounts and Total Spend. 3. Deliver 3-4 leadership-ready strategic recommendations to improve customer retention and revenue."

What it helped uncover: Extracted comparative figures for Gold and Bronze customer behavior and identified lower spend associated with discounted orders in this dataset.

Supported insight: Supported the analysis behind the tier-value comparison, discount-related spending patterns, and visual evidence summary.

Tool Used: Quick Chat

Prompt: "Break down customer satisfaction and purchase recency by membership tier."

What it helped uncover: Showed that, in this dataset, Gold members had stronger satisfaction patterns while Bronze accounts showed weaker satisfaction signals alongside a wider recency gap.

Supported insight: Supported the analysis behind the Bronze retention-risk interpretation and onboarding recommendation.